# Trade war would be worse than the GFC: RBA



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In an environment where it's difficult to predict what US President Donald Trump will do in the next 24 hours let alone the next six months, presenting credible forecasts is impossible. [https://www.afr.com/link/follow-20180101-p5m0gp]

To deal with the inherent uncertainty, the Reserve Bank of Australia has modelled two extra possibilities in addition to its baseline forecast: a trade war and a trade peace scenario.




The Reserve Bank says a trade war could hit economic growth harder than the global financial crisis. **Peter Braig**

Here is a summary of the central bank's internal modelling and what an Oxford Economics Global Economic Model predicts would occur in each:

**The baseline forecast:** The RBA has forecast a modest decline in global growth that would weigh on the Australian economy, which has prompted the bank to lower its GDP forecasts and the jobless rate, which it expects to tick up to 4.3 per cent.

Inflation is expected to be slightly lower than forecast in February to settle near to the mid-point of its 2 per cent to 3 per cent range in 2026.

**A trade war**: In this scenario, trade tensions between the US and China continue to escalate, resulting in a protracted trade war.

A permanent and large increase in the tariffs would shock not only financial markets but also households and consumer confidence, forcing a rapid unwind of financial leverage.

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The GDP of Australia's major trading partners would also fall by 3 per cent – a "larger decline than during the global financial crisis".

Meanwhile, Chinese policymakers would be unable to inject enough stimulus to compensate for a fall in trade. While tariffs would initially be inflationary a sharp drop-off in global growth would be disinflationary.

In Australia, the economy would contract. The RBA assumes the cash rate falls by 85 basis points based on current pricing. The currency would fall about 6 per cent,

providing some support to the economy, but the jobless rate would rise from 4 to 6 per cent.

**Trade peace:** In this scenario, China and the United States strike a deal and tariffs are restored to 2024 levels. The global economy could boom because the US might put in place so-called “non-trade” policies to support economic growth such as deregulation, while China’s economy could be goosed by fiscal spending.

Such a scenario would reignite its concerns about excess demand in the labour market creating inflationary pressures, and force a tightening in monetary policy relative to market assumptions.

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